MUKESH ARORA
NDTS India, Mumbai

Issue: Kotec Automotive Services India, a vendor for Kia Motors, allegedly refused to clear the invoice amount despite completion of the pipeline inspection by NDTS

Project cost: ₹7.43 lakh

Payment due: Since 2018

"If the company refuses to pay, we can't do anything... the legal framework does not exist for small companies"



MANDAR DEODHAR

on accrual basis but only when payments to MSMEs are actually made. MSME businesses operate on credit, and any delay in payments from customers hinders their ability to pay off working capital loans on time, impacting their creditworthiness.

"There are sometimes legitimate quality or commercial reasons for delaying payments; however, most payment delays occur because large buyers want to reduce their working capital requirement, and because they can get away with it," says Ravi Venkatesan, founder of the non-profit, Global Alliance for Mass Entrepreneurship (GAME). In fact, a report titled 'Unlocking the full potential of India's MSMEs through prompt payments' by GAME and the analytics company Dun & Bradstreet (D&B), estimates that a whopping Rs 10.7 lakh crore is locked up annually as delayed payments from buyers to MSME suppliers (accounting for almost 5.9 per cent of GVA or gross value added of Indian businesses). Indeed, 99 per cent of MSMEs in India are still micro enterprises; payment delays and consequent lack of access to capital are key to why many of them have been unable to scale up to SMEs.

PUBLIC VS PRIVATE COMPANIES

Delayed payments is more of an issue with public sector enterprises, often due to its highly regulated procurement process, says Bhardwaj of FISME. Purchases at the sub-national level are often done without drawing up budgets,

V.K. AGARWAL
Shashi Cables, Lucknow

Issue: Payments in lieu of supplying power conductors to Madhyanchal Vidyut Vitaran Nigam Ltd (MVVNL) held up for the past 3 years

Project cost: ₹18 crore

Payment due: Since 2020

"The cost of taking a stand and annoying the system was calamitous for our business"

SUMIT KUMAR

